1.2 Economics: Meaning

The term or word 'Economics' comes from the Ancient Greek *oikonomikos* (*oikos* means "households"; and, *Nemein* means "management", "custom" or "law"). Thus, the term 'Economics' means 'management of households'. The subject, earlier known as 'Political Economy', is renamed as 'Economics', in the late 19th century by Alfred Marshall.

1.3 Economics: Its Nature

The nature of a subject refers to its contents and how and why they find a place in the subject. This nature is understood by studying the various definitions given by the notable economists. The existence of multiplicity of the definitions makes some scholars comment that a search for a clear definition of Economics is a futile exercise. J. M. Keynes, for example, observes that *"Political Economy is said to have strangled itself with definitions"*. Their presence makes studying a subject interesting, exciting, enjoyable, or worthwhile. In fact, their presence in a social science subject is a clear sign of the growth of the science. It indicates that there exists freedom for people associated with such as science to formulate fresh definitions. These associates appreciate and make use of the opportunity afforded to them and come up with a plethora of definitions saying: 'The more, the merrier'. Each definition represents a unique generalisation. A wide variety of definitions paves the way to arrive a near-complete agreement on the subject-matter of Economics.

A science grows stage by stage, and at every stage, its newer definition emerges and a concept associated with it receives some special emphasis. However, the study of a subject is made possible when it possesses clear cut definition and boundary.

Four definitions, each referring to particular stage of the growth of the subject of Economics, are presented here. They are:

01. Smith's Wealth Definition, representing the Classical era;
02. Marshall's Welfare Definition, representing the Neo-Classical era;
03. Robbins' Scarcity Definition, representing the New Age; and,
04. Samuelson's Growth Definition, representing the Modern Age.

1.3.1 Wealth Definition: Adam Smith *(The classical era)*


Adam Smith

Adam Smith (1723-1790), in his book "*An Inquiry into Nature and Causes of Wealth of Nations*" (1776) defines "*Economics as the science of wealth*". He explains how a nation's wealth is created and increased. He considers that the individual in the society wants to promote his own gain and in this process, he is guided and led by an "*invisible hand*". He states that every man is motivated by his self interest. This means that each person works for his own good.

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